



Cambridge O Level

ECONOMICS

Paper 1 Multiple Choice

2281/11

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

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- 1 A government uses different supply-side policy measures to improve economic performance.

Which policy measure would **not** satisfy one of the government's macroeconomic aims?

- ✓ A changing the tax system which leads to more tax evasion
 B encouraging foreign investment which improves the balance of payments
 C privatising state industries which increases economic growth
 D retraining redundant workers which lowers unemployment

Aim not achieved

Tax evasion:- Avoidance of tax

Macroeconomic aim achieved.

- 2 What could cause an increase in demand for a factor of production?

- A decrease in the efficiency of the factor of production
 B decrease in the price of an alternative factor of production
 ✓ C increase in the demand for the good or service produced
 D increase in the price of the factor of production

efficiency ↓, Demand ↓

Substitute cheaper, Demand ↓

Derived demand, Demand ↑

expensive, Demand ↓

- 3 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A average earnings and inequalities of incomes
 B balance of trade and balance of payments
 ✓ C life expectancy at birth and expected years of schooling
 D size of population and age structure of population

covers under GDP per head

- 4 The US government introduces tariffs on steel imported from China. This increases the price of imported Chinese steel.

Tax on imported goods

Whose income would be likely to increase as a direct result?

	Chinese steel producers	US government
A	yes	yes
B	yes	no
✓ C	no	yes
D	no	no

Income not likely to increase as tariff is imposed on Chinese steel, Demand ↓

Tariff imposed, so tax revenue generated

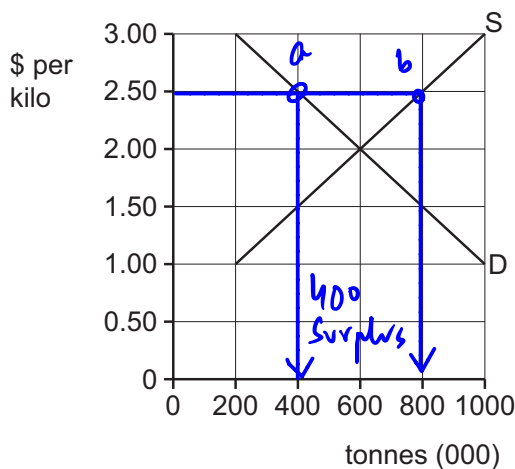
- 5 A government retrains unemployed industrial workers to increase employment opportunities. The policy may have adverse effects on other government macroeconomic aims.

What illustrates this situation?

Adverse:- Negative

- A Better skilled workers may increase productivity and improve economic growth. Positive
- ✓ B Increased wage-earning capacity may lead to demand-pull inflation. $wage \uparrow, C \uparrow, AD \uparrow > AS, P \uparrow$
- C More employed workers may reduce government expenditure on benefit payments. Positive
- D Near full employment may result in a more stable balance of payments. Positive.

- 6 The diagram shows the demand and supply for apples.

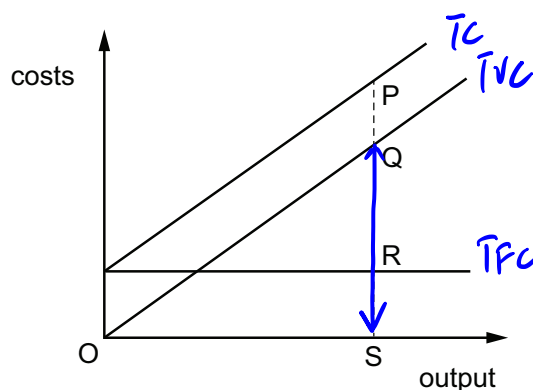


To what extent is the market for apples in disequilibrium at a price of \$2.50 per kilo?

- A Demand exceeds supply by 200 000 tonnes.
- B Demand exceeds supply by 400 000 tonnes.
- C Supply exceeds demand by 200 000 tonnes.
- ✓ D Supply exceeds demand by 400 000 tonnes.

excess demand or shortage if price is below equilibrium.

- 7 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

A PQ
↳ FC

B PS
↳ TC

C QR
↳ nothing

✓ D QS

- 8 The table shows the world output of iron ore and the average yearly price for four years.

year	world output of iron ore (billion tonnes)	average yearly price (\$ per tonne)
year 1	2.86	128
year 2	2.98 <i>highest</i>	135 <i>highest</i>
year 3	2.22 <i>lowest</i>	97
year 4	2.28	95 <i>lowest</i>

What can be concluded about the relationship between world output of iron ore and the average yearly price over the four years?

	world output	average yearly price
✓ A	highest ✓	highest ✓
B	highest	lowest
C	lowest	highest
D	lowest	lowest

Elastic supply

- 9 A firm has a high price elasticity of supply for its product.

What does this indicate?

A It can increase revenue by reducing the price.

B It can quickly respond to changes in price.

C It keeps very low volumes of product in stock.

D It produces a good that has close substitutes.

→ applies to elastic demand, not elastic supply.

less time taken to produce

less stock, inelastic supply

Elastic demand, not elastic supply

External benefit

- 10 A manufacturer of medical supplies benefits from improved road links to its main markets.

What benefit definitely occurs as a result?

A increased average revenue

B increased external economies of scale

C increased internal economies of scale

D increased market share

Average revenue is price

(cost ↓ due to external factor)

Decision not taken by the firm

no mention of merger or customer data.

- 11 Which row shows an essential characteristic of competitive markets and monopoly markets?

	competitive markets	monopoly markets
A	many buyers ✓	single seller ✓
B	many sellers ✓	single buyer
C	single buyer ✓	many buyers
D	single seller ✓	many sellers

- 12 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

A an opportunity cost equal to \$95 (No)

B an opportunity cost equal to other goods she could have bought for \$5

C no opportunity cost, as entrance to the party is free

D no opportunity cost, as she had no better way of using the time

what she purchased vs what she could purchase from \$5

There is opportunity cost

- 13 The development of artificial intelligence in machines raises the productivity of capital.

What will be the effect of this?

- A The costs of production will increase. *decrease, since productivity ↑*
 B The demand for capital will increase. *Yes, because its productivity ↑*
 C The price of capital will fall. *Demand ↑, so does price*
 D The supply of capital will decrease. *increase*

- 14 Which combination is necessary for the construction of a consumer prices index?

used to measure rate of inflation

	<i>Yes</i> a base year	<i>No</i> price stability	<i>Yes</i> weights
A	yes	yes	yes
B	yes	no	yes
C	yes	no	no
D	no	yes	yes

Proportion of income spent on a commodity.

- 15 A government removed the quota on goods imported into the country.

What is the most likely result of this?

- A a decrease in demand for domestic production. *More imports*
 B a decrease in domestic unemployment *Unemployment will increase as demand for domestic goods falls*
 C a decrease in exports *No information on exports*
 D a decrease in the balance of trade deficit *Trade deficit will increase*

- 16 What is an advantage of a country having a market economic system with a large private sector?

- A Firms can become unprofitable if they do not produce what consumers want. *Price mechanism*
 B Market forces often fail to ensure maximum benefits for society. *Not an advantage*
 C Some goods may not be provided at all or not in sufficient quantity. *Not an advantage*
 D There is an unequal distribution of income which can increase over time. *Not an advantage*

- 17 What is an example of a fiscal policy measure?

- A increasing the exchange rate *monetary policy - contractionary*
 B reducing the power of trade unions *supply side - AS ↑*
 C reducing the rate of corporation tax *fiscal policy - Expansionary*
 D setting a lower interest rate *monetary policy - Expansionary*

$r \uparrow$, $save \downarrow$, $spend \downarrow$, $C \downarrow$, $AD \downarrow$

18 Why would an increase in the interest rate potentially lead to lower inflation?

- ☒ A Consumers will be more willing to save when interest rates are high.
 - ☐ B Consumers will be more willing to spend when interest rates are high. NO
 - ☐ C Producers will be more willing to borrow from banks when interest rates are high. NO
 - ☒ D Producers will be more willing to invest when interest rates are high. NO
- Higher interest rate, so higher cost of borrowing, so lower investment

19 Which government action will not add directly to the quantity or quality of human resources?

- ☐ A improvement in health facilities
 - ☐ B investment in education and training
 - ☐ C provision of better food and nutrition
 - ☒ D reclamation of land from the sea
- Associated with human resources, importantly in terms of quality (labour)
- Associated with land

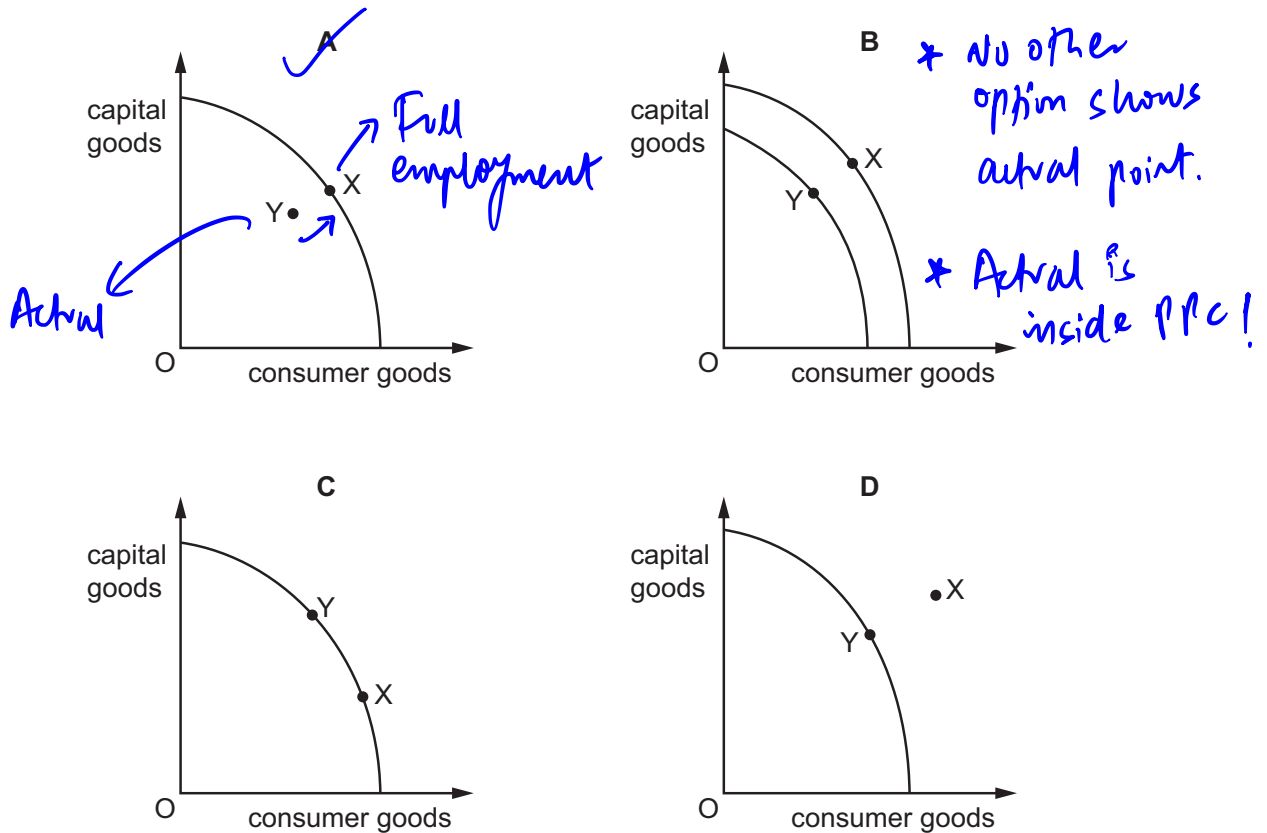
20 What is a likely cause of economic growth?

- ☐ A decreased employment, means unemployment $\uparrow$, output $\downarrow$
 - ☐ B decreased investment, $I \downarrow$, $AD \downarrow$, output $\downarrow$
 - ☐ C decreased productivity, output $\downarrow$
 - ☒ D decreased taxation
- Expansionary policy, $AD \uparrow$, output $\uparrow$, economic growth

8

- 21 An economy experiences a recession and moves from full employment to 5% unemployment.

Which movement from X to Y on the PPC diagram shows the consequence for the economy?



- 22 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

What is the likely order of income, from lowest income to highest income, for these three people?

A Y → X → Z

B Y → Z → X

☒ C Z → X → Y

D Z → Y → X

lowest
on luxury
then on
entertainment,
highest on food etc

High unemployment

9

AD ↓
 Incomes ↓
 Unemployment ↑

23 Why would standards of living fall when there is a recession?

- A The government would increase taxes to combat the recession. This will worsen the situation
 B The purchasing power of households would fall.
 C The value of the domestic currency would increase. This doesn't reduce standard of living
 D There would be a rise in the level of immigration. people will not come in, rather leave.

24 What is the purpose of an economy's production possibility curve (PPC)?

- A It answers the question of what to produce in an economy. NO
 B It enables microeconomic decisions to be taken by firms. NO
 C It measures the supply of goods and services available in an economy. NO
 D It shows the productive capacity in an economy at a point in time. Shows combinations of outputs that an economy can produce with given resources.

25 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

BUT minerals are non-renewable resources, so they will deplete.

	benefit	cost
A	improved balance of trade +ve	training by the MNCs +ve
B	higher employment +ve	-ve loss of a finite resource ✓
C	increased profits for the MNCs	efficient production +ve
D +ve	more sustainable development	economic growth +ve

Not a benefit to low income countries

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

productivity ↑
 efficiency ↑
 output ↑

Standard of living ↑

- A) Budget surplus, Tax ↑, disposable income ↓, saving ↓
 B) C ↑, AD ↑, unemployment ↓
 C) Inflation, exports uncompetitive, Trade surplus ↓

27 What is the definition of foreign exchange rate?

- A the difference between emigration and immigration , *Net migration*
- B the difference between the values of imports and exports *Balance of trade*
- ✓ C the price of one currency in terms of another *e.g. \$1: £2*
- D the price of one good in terms of another *Concept of opportunity cost.*

28 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
✓ A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

Yes, monetary policy
No, fiscal, government role
No, it's done by central bank

29 Which topic is not included in microeconomics?

- A consumer demand
 - B economies of scale
 - C forms of competition
 - ✓ D inflation (*Macroeconomics*)
- Microeconomics*

30 What is likely to cause an immediate decrease in the size of the labour force?

- A a fall in the average size of families
 - B a fall in the birth rate
 - ✓ C a reduction in the age of retirement (*means early retirement*)
 - D an increase in net immigration (*more people coming in*)
- Not immediate*

Question	Answer	Marks
1	A	1
2	C	1
3	C	1
4	C	1
5	B	1
6	D	1
7	D	1
8	A	1
9	B	1
10	B	1
11	A	1
12	B	1
13	B	1
14	B	1
15	A	1
16	A	1
17	C	1
18	A	1
19	D	1
20	D	1
21	A	1
22	C	1
23	B	1
24	D	1
25	B	1
26	D	1
27	C	1
28	A	1

Question	Answer	Marks
29	D	1
30	C	1